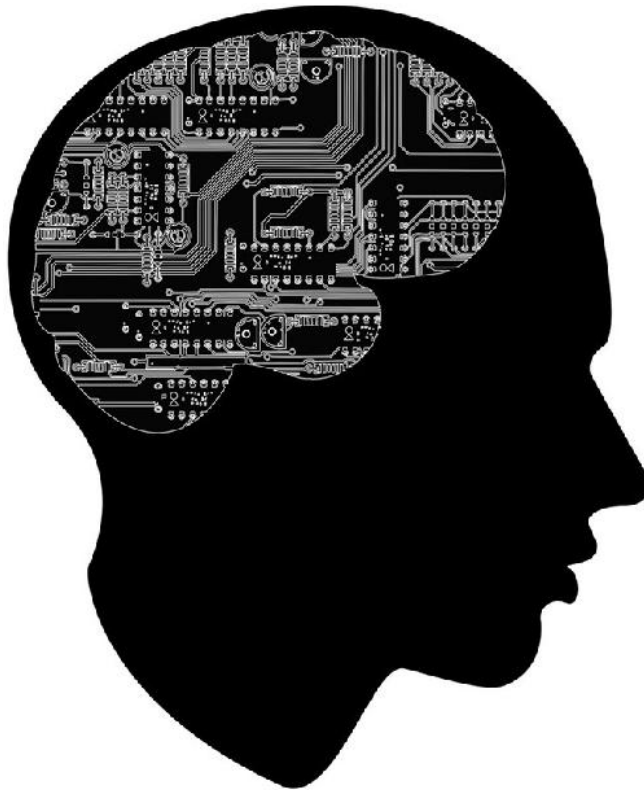


Rational expectations



In recent decades, economists have become interested in how buyers and sellers form expectations about the future. When making a decision about what kind of mortgage to take out, whether to go to college or where to locate a new factory, some view about the future direction of the economy needs to be taken. If one believes that interest rates are set to rise, then it makes sense to take out a fixed-rate mortgage now.

How do people form these expectations? They might use rough rules of thumb – for example, using this year's rate of inflation as a guide to next year's. The theory of 'rational expectations' says that they are much more sophisticated than this: people forecast the movement of economic variables using all available information and a correct model of the economy. If they didn't do this, they would make less than optimal decisions. The assumption of rational expectations has profound implications

for the impact of government policies, but many question whether people are really able to forecast with such precision.